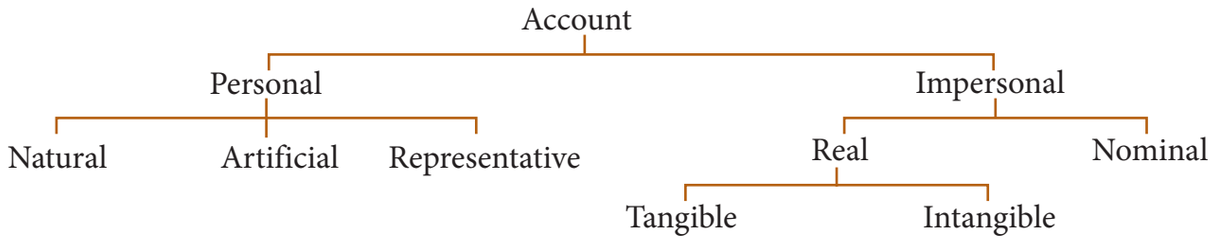
Classification of account



3.7 Accounting rules

All the above classified accounts have two rules each, one related to debit and another related to credit for recording the transactions which are termed as golden rules of accounting or rules of double entry system.

Golden rules of double entry system

Personal account	Debit the receiver	Credit the giver
Real account	Debit what comes in	Credit what goes out
Nominal account	Debit all expenses and losses	Credit all incomes and gains

Illustration 5

Classify the following into personal, real and nominal accounts.

(a) Capital
(b) Building
(c) Carriage inwards
(d) Cash
(e) Commission received
(f) Bank
(g) Purchases
(h) Chandru
(i) Outstanding wages

Solution

Sl. No.	Items	Classification
(a)	Capital	Personal account
(b)	Building	Real account
(c)	Carriage inwards	Nominal account
(d)	Cash	Real account
(e)	Commission received	Nominal account
(f)	Bank	Personal account
(g)	Purchases	Nominal account
(h)	Chandru	Personal account
(i)	Outstanding wages	Personal account



- Purchases is treated as a nominal account as it is an expenditure and sales is treated as a nominal account as it is a revenue to the business.
- Purchases, Purchases returns, Sales and Sales returns may also be treated as real accounts as they are related to goods.

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